

Account Overestimates and the Subsequent Refund Calculation

The following sub-sections are used here: * Factual support information - details of any factual support relied up in subsequent discussions. * Background - general background information and history leading up to the concerns presented * Supplementary questions - as put to Octopus - XXXStatus XXXDate. * Communications and dialogue - summary of email/ other communications as relevant to concerns presented. * Complaint details - what I am unhappy about, and why. * Resolution sought - details of what I would consider a satisfactory resolution to concerns - any actions required, financial recompense for errors (i.e. paying back), financial or other compensation, etc (i.e. XXXGPT words here).

Factual support

The following items are referred to in this section. They are presented here either in full or summarised format to enable a clear understanding of arguments presented. Where given in summary format - links to full references are given.

The 'refund bill'

RefRefundBill follows. As can be seen it contains both a charges and refunds section. The refunds sections presents time periods out of order. A closer examination of the date ranges reveals two sections have 'cut' time slices differently. The charges bill shows one section - 1 April to 15 June not shown in the refunds section (effectively a 'new' bill mixed in with the refund data).

Specific points relevant here - the structural presentation of the information provided.

Your energy account

29th June 2025 - 30th June 2025

On 29th June 2025 your previous balance was -£2,423.01

1. We have charged you

Gas	(estimated)	1st Oct. 2024 - 31st Dec. 2024	- £134.04
Gas	(estimated)	1st Jan. 2025 - 31st March 2025	- £166.06
Gas		1st April 2025 - 15th June 2025	- £82.34

2. We have credited you

Reversed gas charge (27th Dec. 2024 - 31st Dec. 2024)	30th June 2025	+ £40.91
Reversed gas charge (1st Jan. 2025 - 28th March 2025)	30th June 2025	+ £704.09
Reversed gas charge (1st Oct. 2024 - 26th Dec. 2024)	30th June 2025	+ £524.53

On 30th June 2025 your new balance is -£1,535.92

details.

See ApxRefundBills for full

unit rates in refund related bills

The 'refund bill' (see above) refers to refunded sections of earlier bills. The unit rates for gas in these bills were * XXXRefundRatep/kWh * XXXRefundRatep/kWh

unit rates across the lifetime of the account

Unit rates for gas (p/kWh) have varied considerably across the lifetime of this account: XXX at the lowest and XXX at highest. The following XXXRateSummaryDiagram ...

Specific points of relevance here: * the period before the refund (used to calculate the overall refund value) was in comperative terms, around 40% cheaper than earlier over-estimated periods.

Octopus' annual gas estimates

Octopus Energy present annual gas and electricity usage estimates in all bills:

Mark Collins-Cope
28 Waldegrave Road
London
W5 3HT

Your Account Number: A-A7CD64F4
Bill Reference: 180558155 (23rd Dec. 2023)

Your estimated annual cost

£1,338.91 a year for electricity

£2,075.11 a year for gas

This is an estimate based on your expected

annual estimates in Octopus bills

The following bullets summarise the *annual esimated gas usage* given by Octopus in bills across the four or so years they have managed the account. The presumption being these form the underlying basis for their *estimated gas readings* they generate in their gas bills.

Points worthy of note - *with respect to concerns raised here*: * the esimates figures are *consistently* high from account takeover until the refund point. * there is no informnation presented in these figures that would justify the period immediately before 'the refund bill' being of any increased significance in terms of gas usage. * that Octopus' estimates are over *twice* Ofcom's typical medium usage figures (3-bed terraced house occupied by three persons).

date given	annual estimate
2022-07-27	26272
2023-12-22	26272
2024-04-29	26272
2025-03-29	26001
2025-09-17	26001
2025-12-17	11998

refund calculation approach - as used - it would seem

XXXGPT is this interpretation or fact - it could be argued either way - however the results of the steps defined are certainly shown in Octopus refund calculation. perhaps this can be worded to be precise technically but neutral otherwise? XXXGPT

inputs: * the refund-reading - as supplied by custmer. the basis of the refund. * the refund-date - the date of the refund-reading

selection: * select a time-period over which to generate the refund giving a 'start-date' and 'start-reading' [note a](#) * identify bills between the start date and refund date * identify sub-sections of those bills between start-date and refund-date - the 'refund-sections'

calculation: * 'refund the values' of the refund-sections. * from the start-date to the refund-date. that

Background

- The bills for this account were always high. Seemingly to a ridiculous amount when it came to gas.
- The combination of this factor and erratic approach to billing of the gas account in particular contributed significantly to a feeling that just as the account seemed to be under control, another very large bill threw it off balance again.

- The direct debit had risen at Octopus continuing insistence from an initial ~ £108 a month to £300. This happened in the first 2 XXX years of Octopus taking over the account.
- Despite payments of £3,600 a year and periods of the account balance heading towards 'coming under control' - at least once a year, and sometime more, very large bills lead to the account lurching back into a seeming never ending debt position.
- In the summer of 2025 my son had the bright idea to photograph the meter and send the photograph to Octopus (ref ##meter-photo).

??? use or not or restage without the son bit - I was going to mention it was never clear to me what figures were before and after the decimal point, but ...???

- It turned out that the estimated reading was far higher than the actual gas meter reading. This triggered my request for a refund.
- I had previously been concerned that the high readings for the gas coincided with the unusually high spike of gas prices in 2022/2023.
- I therefore contacted Octopus to ascertain exactly how any refund would be calculated. In my mind at least, a significant amount had been incurred at the time of effective unit rates above 10p/kWh (the actual rates were up to 16p/kWh reduced by Govt subsidy). NB: I never received any explanation.

Complaint Details

The refund calculation mechanism

- Despite formally asking at least two times in email {ref ##no-refund-calculation##} no explanation was given to me.
- When the refund arrived (ref ##refund-bill##) I was extremely confused as to how the calculation had actually been made.
- I had expected something understandable in the form of: estimated value - actual value - for the kWh over-reach, backed up by a semi-algorithmic description of how the units had been valued and how they related to the price charged.
- What turned up was the bill shown in ref ##refund-bill##. There was insufficient detail in this bill - and the way it was presented - to clarify how the refund value had been arrived at.
- In particular it was not possible - given the way the bill had been structured - to work out what unit price had been assigned to the kWh units due for refund ... XXXMCC double check this.

Briefly (here) the bill indicated that XXMCC-DESCRIBE-FIRST-EXPERIENCEXX not full picture.

- By this point I was completely confused - but also extremely busy at work. I did expect to hear from Octopus in the then not too distant future. I heard nothing - apparently from Octopus POV a cryptic bill
- given the importance customers place on such matters (i.e. the financial implications)

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Pattern of over estimation

- It is completely unclear why Octopus chose to use unreasonably large annual estimates for fuel consumption.

* However what is very clear is that their choice to seemingly arbitrarily do that has caused many issues.

- For unknown reasons, Octopus' annual gas usage estimate (higher than 26,000 kWh) - is over double the Ofcom estimated assumption for a small (two bedrooms and a box room - technically three bedrooms) terraced house in west London occupied by three persons.

- annual estimate values assigned to the account by Octopus:

- It is only at the end of December 2025 that the estimate is reduced to something akin to the OfCom 'norm'.

Subsequent miscalculation of refund

Appendix # - Octopus Own Annual Estimates 2022-2026

This appendix shows Octopus' own estimates of annual gas usage. These are, it is understood, the basis upon which estimated bills were produced.

With particular respect to the Refund Issue### it is a clear indication that the greatest bias with respect to over-estimates was in the earliest years (2022, 2023) of Octopus administration of the account. At this time rates rose to highs of around 16p per kWh (Govt. subsidies excluded) - and towering about the 6p refund value given.

A refund calculation for of ### kWh of unconsumed gas should not be

clearly should not be calculated solely on the basis of a six month, two bill period where costs were in the order of 6p/kWh) for their bloated account estimates.

Tgis is clearly an unacceptable state of affairs.